

PitchBook Data, Inc.

Nizar Tarhuni Executive Vice President of Research and Market Intelligence

Paul Condra Global Head of Private Markets Research

Nalin Patel Director of Research, EMEA Private Capital

Institutional Research Group

Analysis



Nicolas Moura, CFA
Senior Research Analyst, EMEA
Private Capital
nicolas.moura@pitchbook.com

Data

Charlie Farber
Manager, Data Analysis

pbinstitutionalresearch@pitchbook.com

Publishing

Designed by **Chloe Ladwig**

Published on 15 April 2025

Contents

Key takeaways	1
Tariffs explained	2
The winners and losers of the tariffs imposed on Europe	2
Market reaction and private market spillover	6
The effects of tariffs over time	8

The Impact of Tariffs on European PE

PitchBook is a Morningstar company providing the most comprehensive, most accurate, and hard-to-find data for professionals doing business in the private markets.

Key takeaways

- Following the newly imposed US tariffs on Europe, we expect Switzerland, Ireland, and Germany to have the most severely hit economies. With the US as its largest trading partner, Switzerland is facing one of the highest US-imposed tariffs in Europe at 31%. Germany and Ireland have some of the highest share of exports to the US.
- By sector, automobiles, machinery, industrial equipment, and chemicals are anticipated to be the most affected. We expect technology, services, and renewables to fare better. Looking at the current inventory of European PE portfolio companies, the highest exposures are within the B2B and B2C sectors, which together account for almost two-thirds of European portfolio companies.
- For sponsors, the worry lies with the 42% of PE-owned companies older than five years and presumably looking to exit in an uncertain and volatile exit environment.
- There could be four spillover effects from imposed tariffs on European PE:
 - 1. Take-private opportunity:** Lower share prices equal lower valuations and thus present a buying opportunity for firms with substantive dry powder.
 - 2. Denominator effect:** LPs are likely to reduce PE allocations due to the denominator effect arising from a fall in public markets.
 - 3. Secondaries activity is poised to rise:** Given the increase in market volatility and pricing, as well as the potential rise of the denominator effect, we expect to see more GPs and LPs forced to sell assets and portfolios. This would see secondaries PE deal activity accelerate from already-record levels.
 - 4. US investors could withdraw from Europe:** In the medium term, lower global growth and potential recessions could cause lower PE deal activity and a retraction of US investor participation in European deals. Currently, 1 in 5 PE deals in Europe has a US investor on the ticket, but we expect this to drop if investor sentiment does not improve.

Tariffs explained

Tariffs are taxes imposed by a government on imported goods. The goal is to make foreign products more expensive, giving domestic industries a competitive edge. When goods arrive at the border, customs authorities collect the tariff from the importing company, not the foreign exporter. For example, suppose an iPhone arriving from India to the US costs Apple \$100. Apple must pay a \$26 tariff to the US Customs and Border Protection before it can collect the iPhone. The Indian seller still receives \$100. This immediately reduces Apple's profit margin. That is the first-order effect. The second-order effect is that Apple may reduce future orders from India, which hurts the foreign supplier. To maintain profitability, Apple might also raise prices, impacting consumers. Finally, the third-order effect could be a strategic shift: Apple may move production back to the US over the long term to avoid future tariffs.

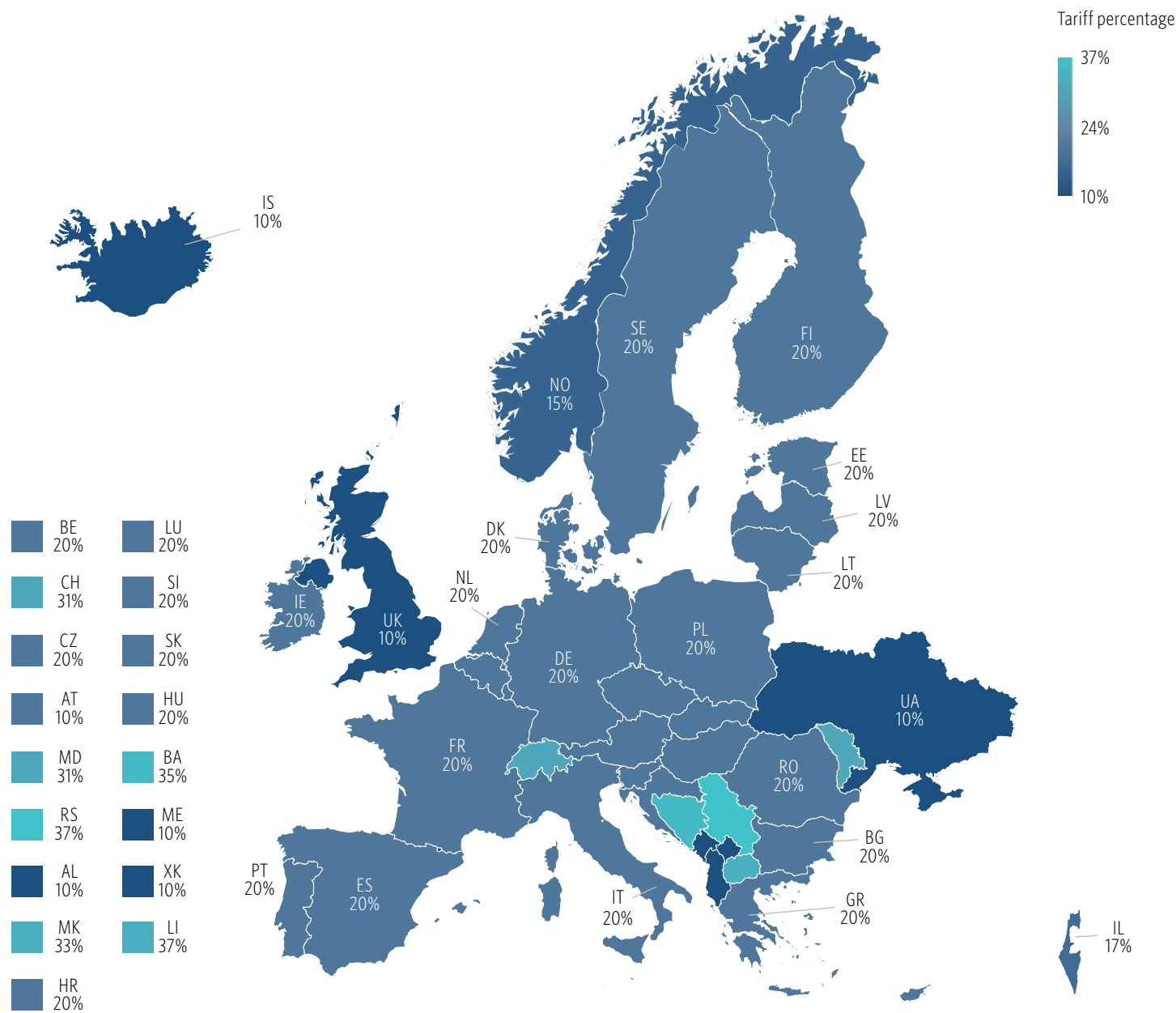
The winners and losers of the tariffs imposed on Europe

The precise impact of US tariffs on European PE portfolio companies remains uncertain, but we can discuss the severity of the impact by looking at individual countries, sectors, and how long GPs have held their investments.

Effects by geography

- **Poland, Slovenia, and the Czech Republic:** Less than 3% of exports from these countries go to the US, although their economies rely heavily on manufacturing.
- **Greece and Cyprus:** Less than 3% of exports from these countries go to the US, and their economies focus on tourism.
- **Spain:** Less than 5% of exports from Spain go to the US, with the country focusing more on supplying the EU and Latin America.
- **Norway:** Norway exports a low amount of goods to the US and has an energy-independent economy, but it could suffer if the EU imposes reciprocal tariffs.
- **The UK:** The headline base tariff of 10% was a relief, but the UK still exports over 13% of its goods to the US. The impact of the tariffs is still unclear, as the UK could negotiate bilaterally with the US moving forward.
- **The Netherlands:** Although US-bound exports from the Netherlands remain low, Rotterdam is the main shipping hub to the US from Europe and may suffer in the medium term.
- **The Balkan States:** Less than 3% of exports from the Balkan States go to the US, and various countries within the Balkans were hit with different tariffs. For example, Albania and Montenegro are subject to the standard 10% tariff, while Serbia was hit with a significantly higher 37% tariff—up from the original 10%—likely due to US pressure on Serbia to divest of the Russian stake in its sole oil refinery before a looming sanctions deadline.

“Liberation Day” tariffs imposed on European countries by the US



Source: PitchBook • Geography: Europe • As of 8 April 2025

- **Switzerland:** The US is Switzerland's largest trading partner, and Switzerland is facing one of the highest US-imposed tariffs in Europe, which will affect its exports of watches, medical machinery, chocolate, and cheese. Switzerland will not impose reciprocal tariffs and is seeking dialogue instead.
- **Ireland:** Over one-quarter of exports from Ireland go to the US, with Ireland relying heavily on the tech and pharma pipelines. In 2024, over €72 billion of Irish exports went to the US.¹
- **Germany:** As an economy that relies heavily on automobile, machinery, and chemical manufacturing, Germany exports 10% of its goods to the US. Over €250 billion of goods were traded between Germany and the US in 2024, making the US Germany's largest trading partner and resulting in Germany being the most affected nation in terms of absolute value.²
- **Italy:** Over 10% of exports from Italy go to the US. The new tariffs will affect the fashion, food, and wine industries.
- **Finland, Sweden, and Denmark:** Around 10% of exports from these countries go to the US, and their economies depend heavily on exports.

Effects by sector

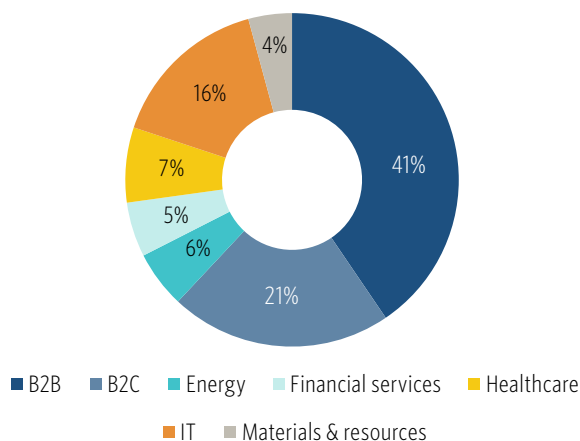
- **Services and tech:** These sectors are mostly insulated from tariffs, especially software-as-a-service businesses.
- **Renewable energy:** This sector will continue to be prioritised in the green energy transition.
- **Luxury goods:** These exports will suffer initially, given they are consumer discretionary items. However, the price elasticity and wealth of the target consumer may mean the industry fares better than others.
- **Healthcare:** Demand is more inelastic for pharmaceuticals, which may prevail despite tariffs. Healthtech will be favoured, but medical devices and other manufactured components will suffer.
- **Automobiles:** Clearly, the automobile sector is one of the largest losers, given there was an additional 25% tariff introduced on all cars imported into the US.
- **Machinery and industrial equipment:** These are capital-intensive, high-value goods that often face high competition from other markets such as Japan, South Korea, and even the domestic US market.
- **Chemicals:** This sector includes highly integrated global supply chains where European chemical plants often export semifinished products like resins and polymers to the US for final processing. Margins tend to be thin in the industry, so tariffs could erase profitability.

1: "Irish Goods Exports to US Surge by 34%," BBC, John Campbell, 17 February 2025.

2: "The United States Is Germany's Main Trading Partner," Destatis, n.d., accessed 11 April 2025.

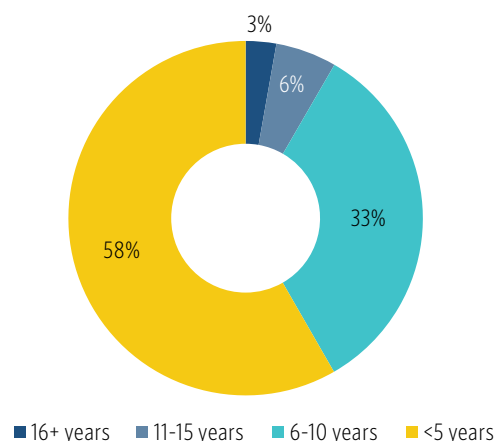
- **Commodities, agriculture, and food & beverage:** These categories include price-sensitive products that can be substituted. This is a bit of déjà vu, given US President Donald Trump already imposed tariffs on products such as cheese, wine, and pork during his first term.

Share of European PE inventory by sector



Source: PitchBook • Geography: Europe • As of 31 March 2025

Share of European PE inventory by holding time



Source: PitchBook • Geography: Europe • As of 31 March 2025

Looking at the current inventory of European PE portfolio companies, the highest exposures are within the B2B and B2C sectors, which together account for almost two-thirds of European portfolio companies. B2B will include subsectors like construction, engineering, machinery, logistics, and industrials, which may all suffer from tariffs. B2C includes mostly consumer discretionary subsectors such as retail, clothing, food & beverage, and automobiles. Sponsors will be particularly concerned with the 42% of portfolio companies that have been held for over five years by GPs and are most likely looking to exit. The exit market has been muted for over three years now, and this exogenous geopolitical shock will only deepen wounds as we experience a bifurcation in pricing between buyers and sellers. Having said this, it is also an opportunity for GPs with nascent funds and high dry powder.

Effects by order

First-order effects: GPs will be looking to assess the immediate impact of these tariffs on their portfolio companies. GPs with high exposure to industries like tech, services, renewables, and healthcare may be initially better off than those with investments in the automobile or heavy machinery sectors. On 9 April 2025, Swiss PE giant Partners Group published a press release stating, “The tariffs will lead to a 1-3% decrease in the aggregate EBITDA of its direct portfolio on an NAV-weighted basis.”³ At first look, this is relatively great news for Partners Group’s companies, but we argue that it ignores the second- and third-order effects.

Second-order effects: GPs may not be directly involved with the automotive industry, for example, but may be involved in the supply chain of the automobile industry by having a portfolio company that supplies goods or services to the

3: “Partners Group Provides Initial Assessment of Impact of US Tariffs on Its Portfolio,” Partners Group, 9 April 2025.

automobile industry. Second-order effects often involve a change in volume-price mix, which will affect all companies along a given supply chain. Second-order effects tend to be the most difficult to quantify.

Third-order effects: Investors should be wary of the global consequences of trade wars and global tariffs. By nature, tariffs tend to be inflationary and could lead to lower growth and thus a global recession.

Market reaction and private market spillover

STOXX 600 total returns by sector

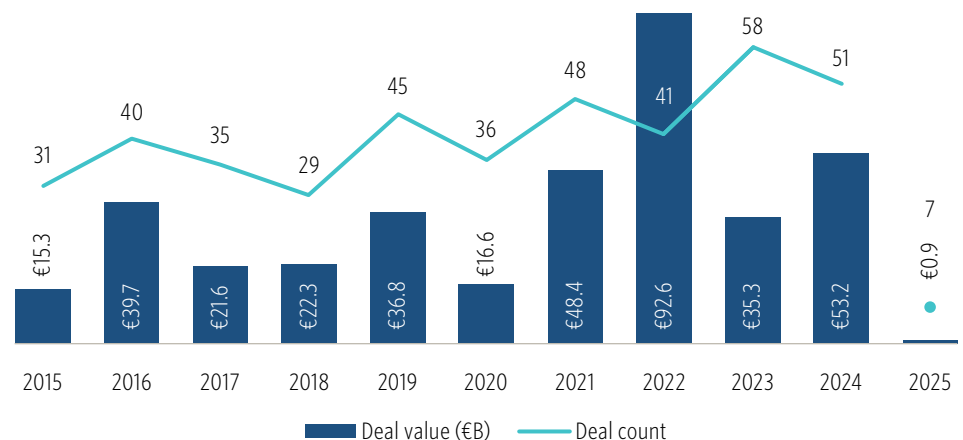
Index	Returns from 2 April to 8 April	1 week	1 month	YTD	1 year
STOXX 600	-9.7%	-9.1%	-11.6%	-3.3%	-2.3%
Automobiles & parts	-10.0%	-10.7%	-17.9%	-13.8%	-31.8%
Banks	-14.4%	-12.6%	-13.3%	8.9%	26.7%
Basic materials	-10.5%	-9.8%	-16.2%	-9.1%	-16.1%
Basic resources	-13.7%	-13.1%	-20.5%	-15.6%	-18.7%
Chemicals	-7.9%	-7.0%	-12.6%	-3.1%	-13.2%
Construction & materials	-8.7%	-7.8%	-12.4%	0.1%	-0.1%
Financial services	-11.4%	-9.5%	-11.0%	-5.5%	5.4%
Financials	-12.2%	-10.5%	-10.1%	5.6%	20.0%
Food & beverage	-3.0%	-3.8%	-5.7%	2.0%	-8.1%
Healthcare	-9.3%	-10.8%	-17.5%	-11.1%	-14.1%
Industrial goods & services	-11.3%	-9.1%	-13.4%	-2.4%	1.5%
Industrials	-10.8%	-8.8%	-13.2%	-1.9%	1.1%
Media	-7.4%	-5.9%	-7.8%	-10.5%	-5.4%
Oil & gas	-15.3%	-17.1%	-11.8%	-8.0%	-12.8%
Personal & household goods	-7.1%	-6.8%	-11.0%	-6.8%	-8.5%
Real estate	-0.1%	-4.8%	-3.3%	-5.8%	-5.9%
Retail	-5.8%	-4.4%	-6.3%	-7.1%	-6.6%
Technology	-9.9%	-8.9%	-14.1%	-10.4%	-14.6%
Telecommunications	-7.4%	-5.9%	-4.6%	6.5%	26.0%
Travel & leisure	-6.7%	-5.5%	-14.9%	-17.5%	-13.5%
Utilities	-5.0%	-4.8%	3.2%	5.9%	13.1%

Source: PitchBook • Geography: Europe • As of 10 April 2025

From the table showing STOXX 600 total returns, we see that European stocks tanked when tariffs were announced on 2 April 2025. In particular, we see big drops in oil & gas and basic resources following the tariff announcements. Automobiles & parts fell slightly before, given the 25% tariff on all automotive imports that was announced a few days before President Trump's "Liberation Day," when the full slate of tariffs were announced. This will have several spillover effects on European PE:

1. **Take-private opportunity:** Lower share prices equal lower valuations and thus present a buying opportunity for firms with substantive dry powder. Notably, we expect to see an uptick in take-privates as PE firms exploit the mismatch between public and private market valuations, with the former falling faster than the latter.

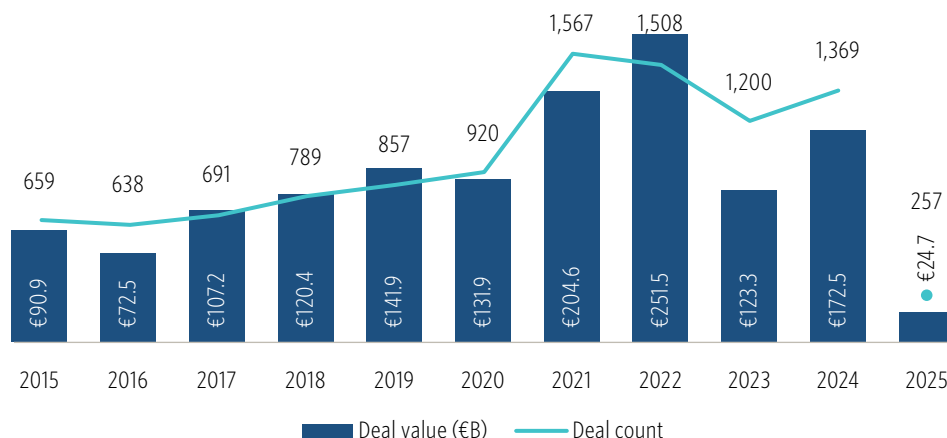
PE public-to-private deal activity



Source: PitchBook • Geography: Europe • As of 31 March 2025

2. **LPs are likely to reduce PE allocations due to the denominator effect:** If the correction seen in public markets persists and we enter full bear market territory, we can expect the denominator effect to unfold. The denominator effect would lead LPs to reduce their private market allocations as a result of falling public market values and the need to rebalance in order to stay within their target asset allocations. This would negatively impact European private equity.
3. **Secondaries activity is poised to rise:** Given the increase in market volatility and pricing, as well as the potential rise of the denominator effect, we expect to see more GPs and LPs forced to sell assets and portfolios. This would see secondaries PE deal activity accelerate from already-record levels, as outlined in our [analyst note on GP-led secondaries](#).
4. **US investors could withdraw from Europe:** In the medium term, lower global growth and potential recessions could cause lower PE deal activity and a retraction of US investor participation in European deals. Currently, 1 in 5 PE deals in Europe has a US investor on the ticket, but we expect this to drop if investor sentiment does not improve.

PE deal activity with US investors



Source: PitchBook • Geography: Europe • As of 31 March 2025

The effects of tariffs over time

In the short term, heightened market volatility is expected, given the uncertainty regarding whether US President Trump will stick with his imposed tariffs. On 9 April 2025, Trump signalled a 90-day pause on most of the previously announced tariffs, which sent markets higher. The US president is using tariffs as a bargaining tool, but this could still swing either way.

In the medium term, uncertainty will continue to impede the PE exit market globally and undermine dealmaking sentiment. Tariffs could squeeze margins for companies and thus squeeze PE returns. An unfolding of the denominator effect could slow down PE fundraising, which has experienced record years of growth. Investors trading in secondaries and take-privates may benefit.

Finally, in the long term, inflation, recessions, and lower PE activity are all possible. More importantly, we may see a shift in allegiances on the global scene, moving more towards multipolar politics. A political realignment from the EU towards China seems more realistic than ever as the US isolates itself from the world stage.